

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 8 – LEASES, SUBSCRIPTIONS, AND OTHER ARRANGEMENTS, Continued

Lessor Agreements - The University leases land and space to both external and related parties. Lease receivables and deferred inflows of resources are recorded based on the present value of the expected receipts over the term of the leases. The expected receipts are discounted using the interest rate charged on the lease, if available, or are otherwise discounted using an estimated incremental borrowing rate. During the year ended June 30, 2024, the University recognized revenues related to these lease agreements totaling \$4,769,889. Total minimum lease payments to be received under lessor agreements are as follows:

	Principal	Interest	Total
2025	\$ 1,370,738	\$ 2,199,441	\$ 3,570,179
2026	1,313,865	2,137,727	3,451,592
2027	1,339,460	2,077,677	3,417,137
2028	1,402,586	2,016,903	3,419,489
2029	1,475,519	1,953,210	3,428,729
2030-2034	7,852,903	8,686,654	16,539,557
2035-2039	6,579,573	6,967,974	13,547,547
2040-2044	6,726,851	5,002,668	11,729,519
2045-2049	1,033,643	4,230,738	5,264,381
2050-2054	1,928,565	3,993,867	5,922,432
2055-2059	3,070,257	3,592,475	6,662,732
2060-2064	4,513,342	2,982,229	7,495,571
2065-2069	6,323,462	2,109,063	8,432,525
2070-2074	8,338,974	907,553	9,246,527
2075-2077	1,290,252	45,919	1,336,171
Total future receipts	<u>\$ 54,559,990</u>	<u>\$ 48,904,098</u>	<u>\$ 103,464,088</u>

Subscription-Based Information Technology Arrangements (SBITAs) – The University entered into arrangements with external parties for access to information technology for various terms under long-term, non-cancelable agreements. These subscription agreements expire at various dates through 2029 and provide for renewal options ranging from one to four years. In accordance with GASB Statement No. 96, the University records SBITA assets and liabilities based on the present value of expected payments over the term of the agreement. The expected payments are discounted using the interest rate charged, if available, or are otherwise discounted using the University's incremental borrowing rate. See Note 4 for information on subscription assets and the related accumulated amortization. Future commitments for subscription assets having remaining terms in excess of one year as of June 30, 2024, were as follows:

	Principal	Interest	Total
2025	\$ 4,605,754	\$ 279,372	\$ 4,885,126
2026	3,215,329	164,454	3,379,783
2027	1,848,646	78,028	1,926,674
2028	1,233,460	33,581	1,267,041
2029	95,411	2,320	97,731
Total future minimum lease payments	<u>\$ 10,998,600</u>	<u>\$ 557,755</u>	<u>\$ 11,556,355</u>

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 8 – LEASES, SUBSCRIPTIONS, AND OTHER ARRANGEMENTS, Continued

Public Private Partnership Arrangements (PPP) - The University has several PPPs. These arrangements are for the operation of the on-campus dining halls, catering services, bookstore operations, and food concessions. These contracts expire at various dates through 2032 and require annual maintenance fund payments as well as significant contributions for capital projects. The present value of future PPP payments to be received are:

	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 4,234,846	\$ 1,786,935	\$ 6,021,781
2026	4,477,222	1,235,527	5,712,749
2027	3,727,276	1,001,926	4,729,202
2028	2,702,958	807,775	3,510,733
2029	2,844,863	667,480	3,512,343
2030-2032	10,112,034	1,165,724	11,277,758
Total future receipts	<u>\$ 28,099,199</u>	<u>\$ 6,665,367</u>	<u>\$ 34,764,566</u>

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 9 - BONDS AND NOTES PAYABLE

Bonds Payable – Bonds payable consisted of the following:

	Original Debt	Interest Rates (Outstanding)	Maturity Dates	June 30, 2024 Balance	Debt Retired in Fiscal Year 2024
State Institution Bonds					
Series 2012A Refunding	\$ 21,254,000	2.5%	04/01/24	\$ -	\$ 490,000
Series 2014A	15,190,000	3% to 5%	04/01/34	9,135,000	730,000
Series 2015A	56,725,000	3% to 5%	04/01/35	36,890,000	2,575,000
Series 2015B Refunding	30,625,000	5%	04/01/26	7,510,000	3,415,000
Series 2017B	39,450,000	2.625% to 5%	04/01/37	29,285,000	1,640,000
Series 2019B Refunding	4,290,000	5%	04/01/29	2,395,000	410,000
Series 2021C Refunding	11,840,000	5%	04/01/31	8,870,000	1,040,000
Total State Institution Bonds				94,085,000	10,300,000
Revenue Bonds					
Athletic Facilities Revenue Bonds					
Series 2015 Athletic	38,270,000	3% to 5%	05/01/45	31,470,000	905,000
Series 2016A Refunding Athletic	22,400,000	4% to 5%	05/01/38	17,680,000	885,000
Series 2017A Athletic	40,325,000	4% to 5%	05/01/47	35,010,000	870,000
Series 2017B Refunding Athletic	46,990,000	5%	05/01/40	39,285,000	2,065,000
Series 2022A Refunding	36,690,000	4% to 5%	05/01/52	35,435,000	645,000
Total Athletic Facilities Revenue Bonds				158,880,000	5,370,000
Special Higher Education Revenue Bonds					
Series 2022A Refunding	39,805,000	5%	05/01/35	35,200,000	2,360,000
Total Special Higher Education Revenue Bonds				35,200,000	2,360,000
Higher Education Revenue Bonds					
Series 2013	37,185,000	3% to 5%	05/01/43	5,930,000	22,200,000
Series 2015	47,605,000	3.5% to 5%	05/01/35	20,110,000	4,000,000
Series 2016A Refunding	67,820,000	4% to 5%	05/01/39	53,980,000	2,595,000
Series 2017A Refunding	20,840,000	5%	05/01/40	18,120,000	730,000
Series 2021A	169,780,000	4% to 5%	05/01/51	169,780,000	-
Series 2021B	10,265,000	0.592% to 1.135%	05/01/26	6,790,000	3,475,000
Series 2022A Refunding	14,140,000	5%	05/01/34	12,020,000	910,000
Series 2023A Refunding	20,015,000	5%	05/01/39	18,720,000	1,295,000
Total Higher Education Revenue Bonds				305,450,000	35,205,000
Total Revenue Bonds				499,530,000	42,935,000
Subtotal bonds payable				593,615,000	53,235,000
Plus unamortized bond premiums				107,266,136	6,907,283
Total Bonds Payable				\$ 700,881,136	\$ 60,142,283

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 9 - BONDS AND NOTES PAYABLE, Continued

The University's currently outstanding debt falls within the following categories:

State Institution Bonds - General Obligation State Institution Bonds of the State of South Carolina (the "State Institution Bonds") are issued by the State on behalf of and at the request of the University for any University permanent improvement project and are secured by a pledge of the full faith, credit and taxing power of the State and by a pledge of Tuition Fees (as such term is defined in the State Institution Bond enabling act) designated by the Board of Trustees and collected at the University. State Institution Bonds are subject to a legal debt margin covenant whereby debt service cannot exceed ninety percent of Tuition Fees received in the immediate prior fiscal year. The incurrence of State Institution Bonds is subject to a legal debt margin test that required Tuition Fees for the immediately preceding fiscal year to exceed forecasted maximum annual debt service. The fiscal year 2023 Tuition Fees used to calculate the University's ability to issue additional State Institution Bonds totaled \$34,694,294, which resulted in a legal annual debt service limit for State Institution Bonds issued in 2024 of \$31,224,864. The annual debt service payments for the fiscal year 2024 were \$14,552,144. Tuition Fees in fiscal year 2024 totaled \$34,760,051.

Higher Education Revenue Bonds and Special Higher Education Revenue Bonds - The University issues certain revenue bonds under the Higher Education Revenue Bond Act (the "Revenue Bonds"), the proceeds of which finance (A) dormitories, apartment buildings, dwelling houses, bookstores and other University operated stores, laundries, dining halls, cafeterias, parking facilities, student recreational, entertainment and fitness related facilities, inns, conference and other non-degree educational facilities and similar auxiliary facilities of the University and any other facilities which are auxiliary to any of the foregoing excluding, however, athletic department projects which primarily serve varsity athletic teams of the University (issued as "Higher Education Revenue Bonds"), and (B) those academic facilities as may be authorized by joint resolution of the General Assembly (historically issued as "Special Higher Education Revenue Bonds").

The Higher Education Revenue Bonds are payable from and secured by a pledge of (A) certain revenues derived by the University from the operation of the student and faculty housing facilities, parking facilities, and certain other auxiliary facilities from time to time designated by the Board of Trustees (the "Net Revenues") and (B) all available funds and academic fees of the University, less all such revenues which are (i) otherwise designated or restricted, (ii) derived from appropriations received from the General Assembly, (iii) tuition funds pledged to the repayment of State Institution Bonds, or (iv) funds pledged to the payment of the University's Athletic Facilities Revenue Bonds. Net Revenues for fiscal year 2024 were \$38,093,192. The net available funds described in (B) above totaled \$1,003,885,872 in fiscal year 2024.

On July 12, 2023, the University issued \$20,015,000 in Higher Education Revenue Refunding Bonds, Series 2023 to partially refund the University's Higher Education Revenue Bonds, Series 2013. These transactions resulted in net present value savings of \$2,097,881 that will be realized in the form of annual cash flow savings ranging from \$134,000 to \$169,000 per year through 2039.

The Special Higher Education Revenue Bonds are payable from and secured by a pledge of all available funds and academic fees of the University, less all such revenues which are (i) otherwise designated or restricted, (ii) derived from appropriations received from the General Assembly, (iii) tuition funds pledged to the repayment of State Institution Bonds, (iv) funds pledged to the payment of the University's Athletic Facilities Revenue Bonds, or (v) the Net Revenues. Such pledged revenues for fiscal year 2024 were \$1,003,885,872.

Athletic Facilities Revenue Bonds - Athletic Facilities Revenue Bonds, the proceeds of which are used by the University for the financing or refinancing of the costs of acquiring, constructing, reconstructing, renovating, or equipping Athletic Facilities. The Athletic Facilities Revenue Bonds are payable from and secured by a pledge of (A) the net revenues of the Athletic Department, (B) the gross receipts from the imposition of the Admissions Fee (as defined in the bond resolution authorizing the Athletic Facilities Revenue Bonds), and (C) the gross receipts from the imposition of the Special Student Fee (as defined in the bond resolution authorizing the Athletic Facilities Revenue Bonds). Pledged revenues for athletic facilities revenue bonds in fiscal year 2024 were \$2,233,051 of special student fees, \$6,543,057 of special admission fees and \$5,537,050 of athletic department revenues.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 9 - BONDS AND NOTES PAYABLE, Continued

The University believes it is in compliance with all related bond covenants of its issued debt.

The scheduled maturities of the University bonds payable by type are as follows:

	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
State Institution Bonds			
2025	\$ 10,355,000	\$ 3,749,393	\$ 14,104,393
2026	10,915,000	3,231,644	14,146,644
2027	7,400,000	2,693,944	10,093,944
2028	7,760,000	2,332,344	10,092,344
2029	8,125,000	1,961,844	10,086,844
2030-2034	37,600,000	5,470,794	43,070,794
2035-2037	11,930,000	616,631	12,546,631
Total	\$ 94,085,000	\$ 20,056,594	\$ 114,141,594
	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
Revenue Bonds			
2025	\$ 21,395,000	\$ 23,423,670	\$ 44,818,670
2026	21,520,000	22,495,992	44,015,992
2027	22,615,000	21,575,944	44,190,944
2028	21,340,000	20,466,194	41,806,194
2029	22,400,000	19,419,444	41,819,444
2030-2034	122,490,000	79,539,950	202,029,950
2035-2039	108,400,000	50,497,475	158,897,475
2040-2044	73,440,000	28,154,150	101,594,150
2045-2049	60,980,000	12,545,700	73,525,700
2050-2052	24,950,000	1,638,150	26,588,150
Total	\$ 499,530,000	\$ 279,756,669	\$ 779,286,669

Notes Payable – Notes payable, which are all direct borrowings, consisted of the following:

Note payable to acquire energy savings equipment, dated April 2018, payable in annual installments of \$49,399 subject to amount drawn at any given time, matures February 2029, fixed interest rate of 2.00% \$ 232,842

The scheduled maturities of the notes payable are as follows:

	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 44,742	\$ 4,657	\$ 49,399
2026	45,637	3,762	49,399
2027	46,550	2,849	49,399
2028	47,481	1,918	49,399
2029	48,432	967	49,399
Total	\$ 232,842	\$ 14,153	\$ 246,995

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 10 - LONG-TERM LIABILITIES

Long-term liability activity was as follows:

	<u>June 30, 2023</u>	<u>Additions</u>	<u>Reductions</u>	<u>June 30, 2024</u>	<u>Due Within One Year</u>	<u>Long-Term Portion</u>
Bonds Payable:						
State Institution Bonds	\$ 104,385,000	\$ -	\$ 10,300,000	\$ 94,085,000	\$ 10,355,000	\$ 83,730,000
Revenue Bonds	522,450,000	20,015,000	42,935,000	499,530,000	21,395,000	478,135,000
Subtotal Bonds Payable	626,835,000	20,015,000	53,235,000	593,615,000	31,750,000	561,865,000
Unamortized Bond Premiums	111,653,577	2,519,842	6,907,283	107,266,136	5,059,748	102,206,388
Total Bonds Payable	738,488,577	22,534,842	60,142,283	700,881,136	36,809,748	664,071,388
Notes Payable	276,707	-	43,865	232,842	44,742	188,100
Total Bonds and Notes Payable	\$ 738,765,284	\$ 22,534,842	\$ 60,186,148	\$ 701,113,978	\$ 36,854,490	\$ 664,259,488
Lease Obligations	\$ 32,250,255	\$ 7,642,031	\$ 12,559,251	\$ 27,333,035	\$ 5,084,270	\$ 22,248,765
Subscription Obligations	\$ 9,638,611	\$ 13,589,209	\$ 12,229,220	\$ 10,998,600	\$ 4,605,754	\$ 6,392,846
Accrued Compensated Absences	\$ 39,416,656	\$ 33,605,115	\$ 29,806,519	\$ 43,215,252	\$ 33,605,109	\$ 9,610,143

Additional information regarding bonds and notes payable is included in Note 9.

NOTE 11 - COMPONENT UNITS

Certain separately chartered legal entities whose activities are related to those of the University exist primarily to provide financial assistance and other support to the University and its educational program. They include the University of South Carolina Development Foundation; the University of South Carolina Educational Foundation; and the University of South Carolina Business Partnership Foundation. These entities are considered nongovernmental component units because they do not meet the definition of a governmental entity. Because the activities and resources of these entities are significant, provide a direct benefit, and are accessible to the University, they are considered component units of the University and are discretely presented in the University's financial statements accordingly as nongovernmental reporting entities. Management performs an annual review of its relationship with these entities to ensure continued compliance with accounting standards.

Following is a more detailed discussion of each of these entities and a summary of significant transactions (if any) between these entities and the University. These component units also hold endowments on behalf of the University, see Note 14 for details.

Nongovernmental Discretely Presented Component Units

The University of South Carolina Development Foundation (the Foundation) operates exclusively for the benefit of, to perform the functions of, or to carry out the purposes of the University including, but not limited to, promoting, encouraging, and aiding scientific research and investigation at the University. The University receives funds for incidental administration and operational costs to include personnel provided by the University from the Foundation. The University also pays the Foundation for the lease of real property. Complete financial statements for the Foundation can be obtained at USC Foundations, 1027 Barnwell St. Columbia, SC 29208, Attention: Jason Caskey.

The University of South Carolina Educational Foundation (the Foundation) operates for the benefit and support of the University of South Carolina. Its objectives include the establishment and implementation of long-range fundraising programs to assist in the expansion and improvement of the educational functions of the University. The University receives from the Foundation funds for scholarships, awards and stipends to students, faculty and administrative staff; library collections; incidental administration and operational costs to include personnel provided by the University. Complete financial statements for the Foundation can be obtained at USC Foundations, 1027 Barnwell St. Columbia, SC 29208, Attention: Jason Caskey.